Kirloskar Pneumatic Company Ltd

Concall-Tracker report | Ticker: KIRLPNU (NSE) / 505283 (BSE) | Sector: Compressors & industrial equipment

Quarter: Q1 2027 · Newest call read: Q1 FY27, 22 Jul 2026 · Figures in ₹ crore, standalone, unless stated

1. Snapshot

What the business does: KPCL makes compressors, machines that squeeze air or gas to high pressure, plus the systems built around them. It sells cooling compressors for cold storage, dairies and fisheries, air compressors for factories, and gas compressors for CNG stations, oil-and-gas and biogas plants. It earns on the machine, on bigger turnkey "packages", and on years of servicing afterwards.

FY26 revenue	₹1,759 cr, up ~8% - *a slow year; it had promised far more.*
FY26 net profit	₹258 cr, up ~22% - *profit grew much faster than sales thanks to a richer product mix.*
Q1 FY27 revenue	₹300 cr, up 10% on ₹272 cr - *its best-ever first quarter, but only moderately ahead; some dispatches slipped into Q2.*
Q1 FY27 net profit	₹34 cr, up ~21% on ₹28 cr - *profit again grew about twice as fast as sales.*
Q1 FY27 operating margin	17.6% vs 15.7% - *out of every ₹100, about ₹18 is operating profit; Q1 is always its weakest quarter.*
Order book (1 Jul 2026)	₹1,853 cr vs ₹1,863 cr at the start of the year - *it booked about as much as it shipped (~₹300 cr), so the pipeline held flat rather than grew.*
Debt	Zero; credit rating upgraded to AA by CRISIL - *no loans of any kind, cash-rich.*

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY25 → Q3 FY26 (5 calls)	Jan 2025 → Jan 2026	Carried forward from Q4-2026 report
Q4 FY26 (prior boundary)	27 Apr 2026	Covered in Q4-2026 report
Q1 FY27 ★	22 Jul 2026	Newly deep-read in full

Only the Q1 FY27 call was read in full this quarter; the backstory comes from the prior report. Seven calls in total span about a year and a half.

Latest concall highlights - Q1 FY27 (22 Jul 2026)

- **Record Q1, modest growth.** Revenue ₹300 cr (+10%), profit ₹34 cr (+21%) - *profit beat sales again; management admits some revenue was pushed into Q2.*
- **Middle East war hit package orders.** No refrigeration package orders were booked and big gas orders abroad were delayed - *the large one-off projects slowed, so the order book went sideways.*
- **Machines sold well.** Air compressors had their highest-ever order booking, led by Tezcatlipoca centrifugal machines (now ~mid-teens share of their market); biogas orders also hit a record - *the product side, mostly domestic, is still winning share.*
- **FY27 target of ₹2,100 cr kept.** "We would not be moderating anything at the moment" - *that needs roughly 19% growth, after a quarter of 10%.*
- **Zephyros got its first order.** The new air-conditioning line will show revenue in Q2 but "may not be meaningful"; the big jump is now pencilled in for FY28 - *it's a slow, concept-sell product.*

• **Tone:** calm and steady, a bit defensive on the top line, firm on margins (18-20% range reiterated).

Business mix & capacity

Domestic vs export: ~94% India / ~6% exports (FY26) *- an India story; the Middle East is the main export exposure and it's small.*
Mix: compression is over 94% of revenue; gas is 35-40%, the rest is cooling and air. Packages were under 25% of Q1 sales. The new precision-engineering arm is about 15% of the order book.
Capacity: utilization not updated on this call (it was ~70% around Q2 FY26). FY27 capex ~₹100 cr plus the ₹320 cr Zephyros plan spread over FY27-FY28 *- there's room to grow output without new plants for the core range.*

Since our last report ★ (builds on the Q4-2026 report, call of 27 Apr 2026)

Prior verdicts: **Trigger YES · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger	In-house products replacing imports; record ₹2,000 cr+ orders	Air compressor and Tezcatlipoca orders at records; but overall order book flat	**On-track**
Consistency	Keeps profit promises, misses sales targets	Same pattern: margin up, revenue only +10%, some deferred	**Unchanged**
Return to ~20% growth in FY27	Not yet proven	Q1 +10%; ₹2,100 cr kept but Middle East delays named	**Slipping**
Zephyros launch in Q1 FY27	Product ready, no sales	Quotes out, first order in Jul 2026, real scale in FY28	**Slow but on-track**
18-20% margin band	FY26's 21.7% flattered by mix	Q1 17.6%, up on last year; band reiterated	**Confirmed**

Verdict change: both unchanged. The product engine keeps working, and the profit side keeps delivering. But the familiar pattern of sales running behind the promise showed up again in the first quarter of the year.

3. Earning Trigger thesis

The trigger: home-built compressors that India used to import

KPCL's growth now comes from its own designs: Tezcatlipoca centrifugal compressors, Tyche and Khione cooling compressors, and new launches like the A-800 and the Tonalli biogas unit. They replace imported machines, so KPCL takes share even when the market is slow. You can see it this quarter: air compressor orders hit a record while project orders stalled. The old CNG and gas-package business is now cyclical, and the Middle East war has made it lumpier. Zephyros, the air-conditioning bet, is the next leg but won't count before FY28.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Tezcatlipoca / air compressors	Win share from imports; book >₹100 cr Tezcatlipoca orders in FY27	Record division order booking in Q1; mid-teens market share; A-800 launched	Now	**Strong**	↑ improving
Refrigeration / cold chain	Grows with India's food and cold-storage build-out	Record Khione orders; standard compressors up; but no package orders	Ongoing	**Strong**	unchanged
Gas & biogas			FY28+	**Moderate**	

	Domestic upstream and biogas inquiries high; most for FY28+	Gas was the best-growing unit in Q1 on big dispatches; overseas orders deferred			↑ slightly better outlook, timing far out
Zephyros air-conditioning	₹320 cr capex; big jump in FY28	Three test installs, first customer order Jul 2026	FY28	**Unproven**	unchanged
Service income	O&M of 1,000+ gas stations growing 25-30% a year	Service income rose ~50% in FY26	Ongoing	**Moderate**	new this quarter

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Q3 FY25 → Q4 FY25	"Well above 20%" growth for FY25	Sales +23%, profit +58%	**Delivered**
Through 2025	"₹2,000 crore company" in FY26	FY26 revenue ₹1,759 cr; reframed as order inflow	**Missed**
Q2 FY26	>15% FY26 growth, profit +25-30%	Revenue +8%, profit +22%	**Partly**
Q3 FY26	PBT ₹345-360 cr	PBT ₹356 cr	**Delivered**
Q4 FY26 → Q1 FY27	Zephyros commercial in Q1 FY27	Quoting started, first order in Jul 2026	**Partly**
Q4 FY26 → FY27	₹2,100 cr revenue; 18-20% margin	Q1 +10%, revenue deferred; margin 17.6% (seasonally low quarter); target held	**Too early**

Narrative drift: the story is stable but the timing keeps sliding. The new MD, Aman Kirloskar, tells the same story as before: in-house products, India demand, steady margins. He's open about what went wrong, naming the war, the deferrals and the lack of package orders. The pattern from last year repeats, though: profit and margin promises get kept, the sales number lags. Holding the ₹2,100 cr target after a soft Q1 and a flat order book is the bet to watch.

5. Bottom line

Durable earning trigger? → YES (vs last quarter: unchanged)

Nothing in the new call weakens this. The machine side, built on its own designs, had record orders even as the war froze project orders. It keeps taking share from imports and pushing margins up. Gas and biogas inquiries look better than a year ago. The caveat is that much of that, plus Zephyros, lands in FY28, so FY27 depends on the core products.

Management consistent? → MAYBE (vs last quarter: unchanged)

Same mixed record. They're candid and they deliver on profit, margins, cash and dividends. But Q1 opened with sales again behind the plan, revenue pushed into the next quarter, and an order book that didn't grow, while the full-year sales target stayed put. If Q2 doesn't show the catch-up they're pointing to, this becomes a third year of missed sales targets.

Prepared from seven earnings calls (Q3 FY25 to Q1 FY27); only the Q1 FY27 call (22 Jul 2026) deep-read this quarter. Calls after 30 Sep 2026 excluded. Not investment advice.